

Titan Company Ltd

TITAN · Consumer Discretionary / Gems & Jewellery

ROE

37.22%

ROCE

21.03%

Net Profit Margin

6.84%

D/E

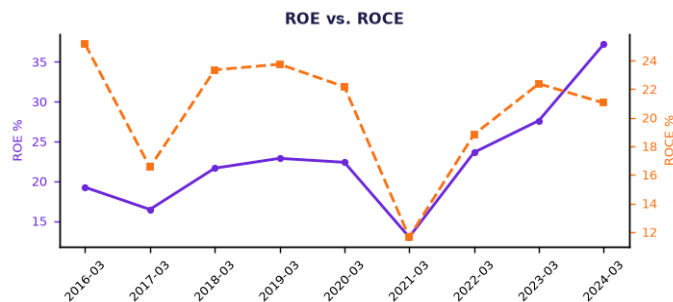
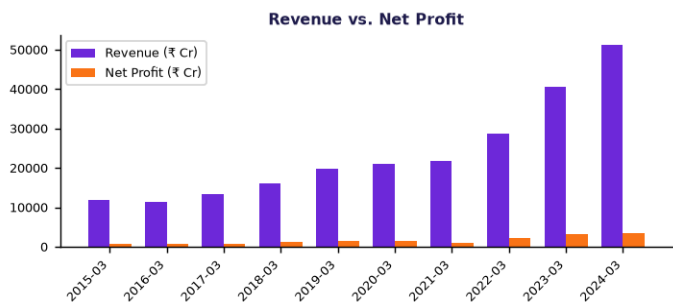
1.65

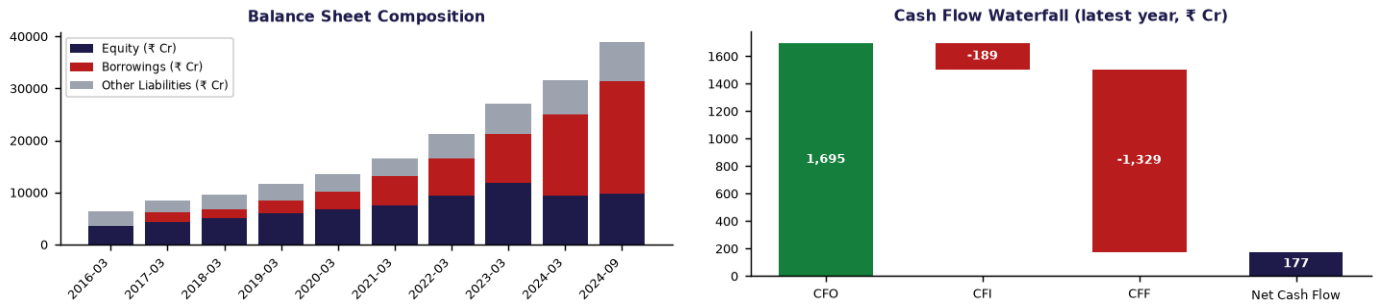
Revenue CAGR 5yr

20.90%

FCF (Rs. Cr)

1,506





Pros

- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (100% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (85% confidence)
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (76% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (75% confidence)

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (100% confidence)
- ✗ Debt-to-equity ratio of 2.22 is elevated for a non-financial company and warrants monitoring (64% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (63% confidence)

Capital Allocation Pattern: **Reinvestor**